MARKETING EFFECTIVENESS ANALYSIS

FROM MARKETING SPEND TO BOOKING & REVENUE PERFORMANCE

Business Analyst Project II | TobyX
Yixiang Niu

2 BUSINESS OBJECTIVE

The goal is to connect marketing activity to downstream booking and revenue performance, and translate insights into actions that improve marketing efficiency.

BUSINESS CHALLENGE

Marketing campaigns run across multiple channels, but their business impact is not fully clear.

It is difficult to determine which channels and campaigns actually drive valuable business outcomes.

High conversion volume does not necessarily translate into valuable or completed bookings.

Some campaigns generate many clicks or conversions but result in low completion quality or low revenue.

The client needs a clearer way to connect marketing investment with booking and revenue outcomes.

There is a need to evaluate marketing efficiency from the perspective of downstream business impact.

KEY BUSINESS QUESTIONS

1. **Where is marketing investment generating the strongest business results?**
2. **Which customers and channels generate the most valuable bookings?**
3. **Where are the biggest opportunities to improve marketing efficiency?**

Objective

Connect marketing activity to downstream booking and revenue performance, and translate the findings into actionable recommendations.

3 Analytical Approach

I evaluated marketing effectiveness by following the customer journey from initial investment all the way to realized business value.



Analysis Perspectives

Campaign & Channel Performance

Spend, conversions and cost efficiency

Customer Response

Segments, loyalty tiers and booking completion

Revenue Performance

Booking channels, customer value and revenue drivers

Data Preparation

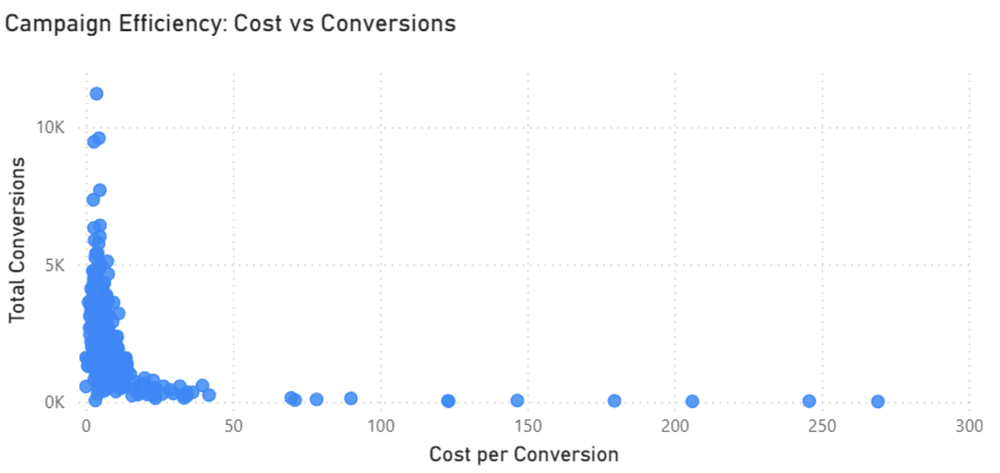
- Validated key IDs and relationships
- Excluded test records where appropriate
- Handled duplicates and missing values
- Connected customer, campaign and booking data for analysis

4 Finding 1 — Marketing Efficiency Varies Significantly Across Campaigns

Acquisition efficiency differs widely across campaigns and channels. Lower cost at the conversion stage does not necessarily lead to higher downstream value.

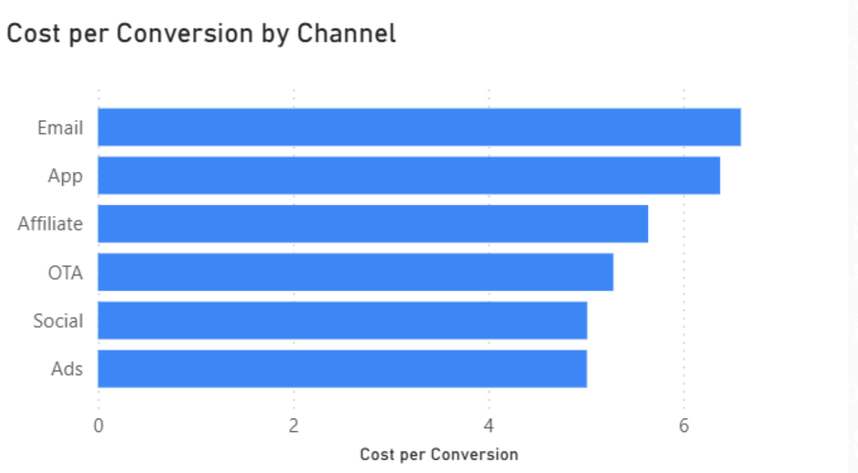
Campaign Efficiency: Cost vs Conversions

(Each dot represents a campaign)



Cost per Conversion by Channel

(Lower is better)



Key Business Insights

1 Efficiency varies substantially across campaigns

A small number of campaigns generate conversions at unusually high cost, while most operate at much lower cost levels.

2 High spend does not guarantee stronger performance

Some low-volume campaigns consume significant cost with limited conversions. Campaign performance should be evaluated on efficiency, not volume alone.

3 Channel-level CPA tells only part of the story

Lower acquisition cost (e.g., Social, Ads) does not necessarily mean higher downstream business value. We must also examine bookings and revenue.

Takeaway

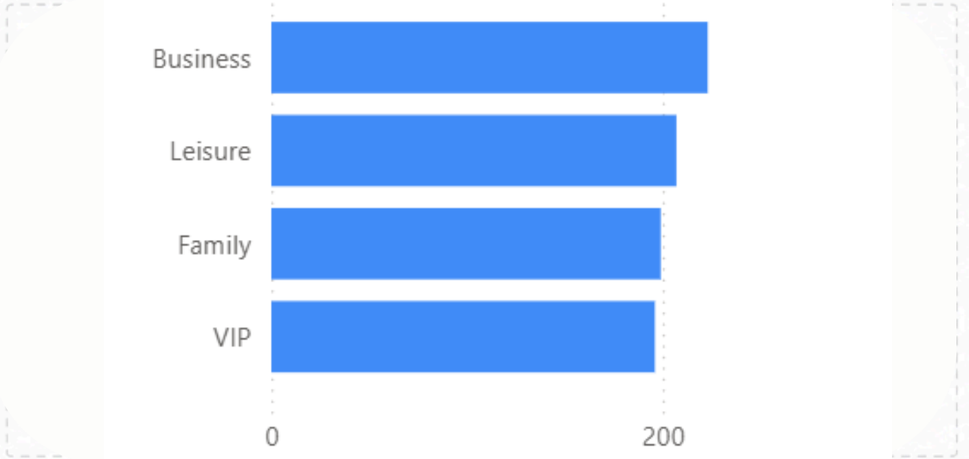
CPA is useful for identifying potential inefficiency, but it should not be the only basis for budget allocation. We need to evaluate downstream booking, completion and revenue performance.

5 Finding 2 — Booking Volume Does Not Equal Customer Value

Different customer segments show very different patterns when comparing booking volume with the value they generate.

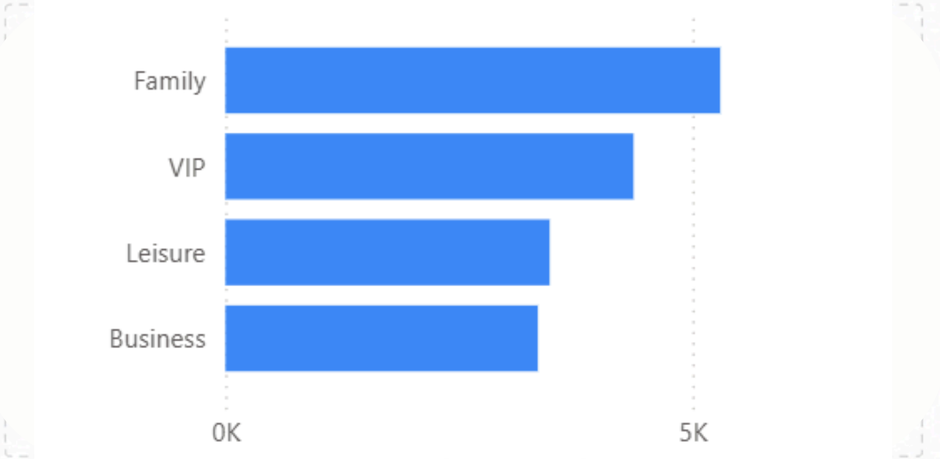
Bookings by Customer Segment

(Total Bookings)



Average Revenue per Booking by Customer Segment

(USD per Booking)



1 Booking volume and booking value tell different stories

Business generates the highest number of bookings, but has the lowest average revenue per booking.

2 Family customers appear particularly valuable

Family generates fewer bookings than Business, but has the highest average revenue per booking.

3 Customer targeting should balance volume and value

Marketing decisions based only on booking counts may underweight smaller but higher-value segments.

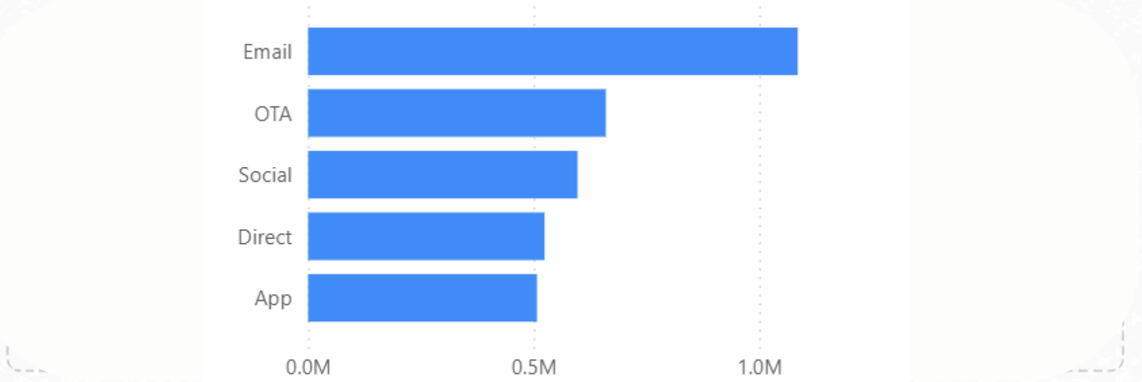
Takeaway

Customer acquisition should be evaluated by the value of the bookings generated—not simply the number of bookings.

6 Finding 3 — Email Drives the Highest Revenue and Booking Value

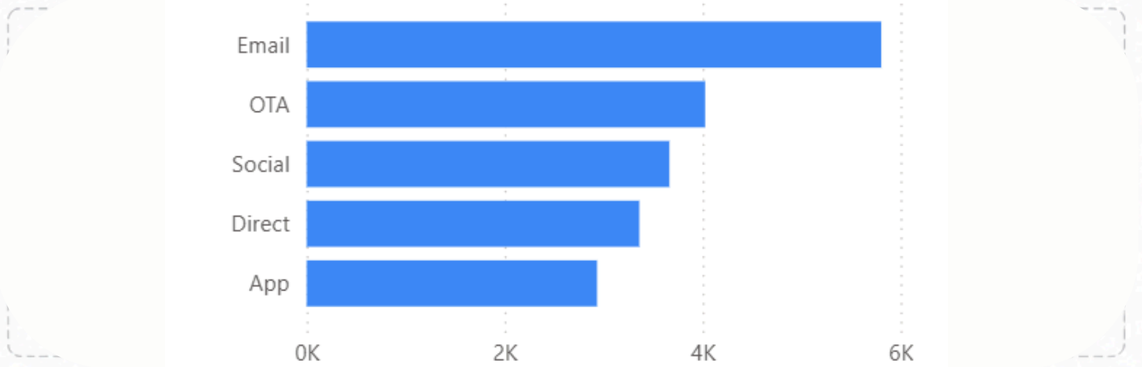
Channel performance varies significantly. Email stands out by delivering the most revenue and the highest value per booking.

Total Revenue by Booking Channel



Average Revenue per Booking by Booking Channel

(USD per Booking)



Key Findings

Email is the strongest booking channel

- Generates the highest total revenue
- Delivers the highest revenue per booking

Its advantage comes from both volume and booking value.

OTA and Social form the second tier

- Meaningful revenue contribution
- But substantially behind Email in booking value

Direct and App underperform

- Lower total revenue
- Lower average revenue per booking

Business Implication

Email should be treated as a **priority revenue** channel, while lower-performing channels should be **reviewed for targeting, customer journey, and conversion quality.**

Takeaway | Channel strategy should focus on attracting **high-value bookings**, not just driving more bookings.

7 Recommendations — What Should the Business Do?

Based on the analysis, the following actions can help maximize revenue by focusing on high-value customers and high-performing channels while improving marketing efficiency.

1 Prioritize Email Channel Investment

- Email generates the highest total revenue and the highest revenue per booking.
- Maintain and increase investment in Email campaigns and customer nurture flows.

Why this matters

Double advantage: high volume and high booking value.

2 Target High-Value Customer Segments

- Family and VIP customers deliver **the highest revenue per booking.**
- Develop tailored offers and messaging for Family (high value, strong completion rate) and VIP (very high value).

Why this matters

Focus on segments that create the most revenue per booking.

3 Improve Efficiency of Low-CPA Channels

- Ads and Social have the lowest cost per conversion but may bring lower booking value.
- Optimize targeting and landing pages to attract higher-value customers, not just more conversions.

Why this matters

Low acquisition cost should be paired with high booking value.

4 Track Downstream Value, Not Just Volume

- Do not allocate budget based solely on bookings or conversions.
- Use metrics that **reflect** revenue and completion quality, such as revenue per booking and completion rate.

Why this matters

Ensures marketing budget is spent on what truly drives business value.

KPIs to Monitor

Revenue per Booking

Track by channel and customer segment (higher is better)

Booking Completion Rate

Track by customer segment to ensure booking quality (higher is better)

Cost per Conversion

Track by channel (lower is better)

Total Revenue

Track overall and by channel / segment (higher is better)

Takeaway

Focus marketing efforts on Email channel, target high-value customer segments (Family & VIP), and always evaluate performance based on revenue and completion quality—not just volume or low CPA.

8 Key Takeaways

This analysis shows that focusing on value—rather than volume or cost alone—is the key to maximizing marketing ROI and driving sustainable revenue growth.

1



Marketing efficiency ≠ lowest cost

Campaigns with the lowest CPA do not necessarily generate the most bookings, revenue, or completed bookings. Performance should be evaluated together with downstream booking and revenue outcomes.



Implication

Optimize for outcomes that drive business value, not just cost per action.

2



Customer value differs meaningfully

Family and VIP customers deliver the highest average revenue per booking. In addition, completion behavior varies across customer segments and loyalty tiers.



Implication

Prioritize high-value segments (Family & VIP) and tailor offers to their preferences and behavior.

3



Email is the strongest revenue channel

Email generates the highest total revenue and the highest average revenue per booking, outperforming all other channels on both volume and booking value.



Implication

Invest more in Email campaigns and customer nurture flows to scale high-value bookings.



The key opportunity

Shift from **volume-driven marketing** to **value-driven decision making**.



Next Steps



Validate these patterns over a longer period.



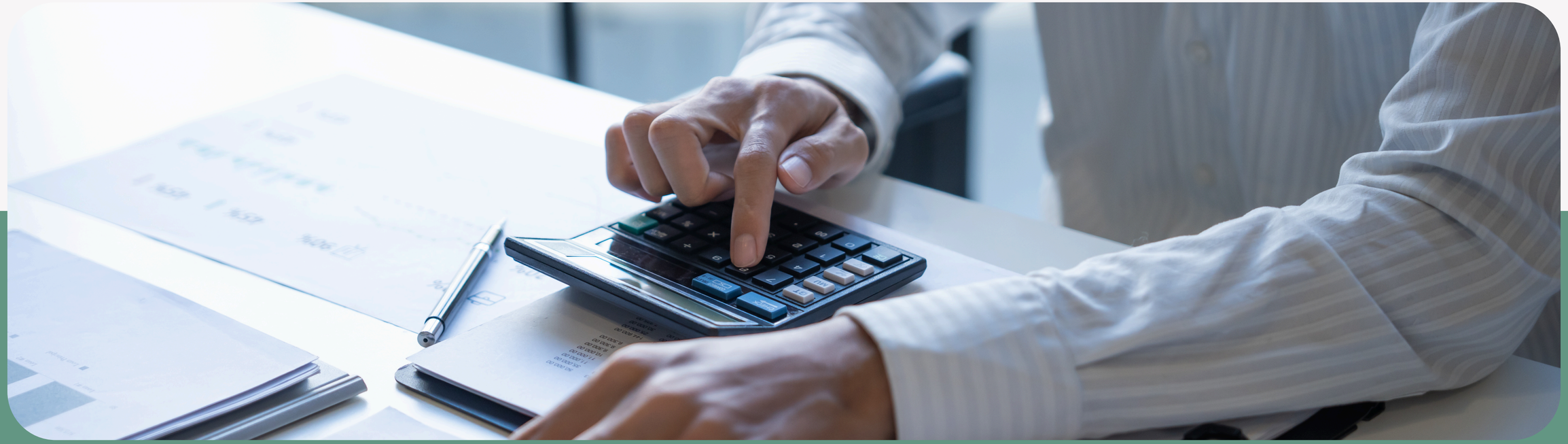
Test targeted campaigns for Family & VIP segments.



Monitor key metrics: revenue per booking & completion rate.



Reallocate marketing budget based on results and business impact.



THANK YOU